

I have close to 95% of my day free to think, read, and research (or “reflect” in the gym, on ski slopes, or, more effectively, on a park bench). I also had the privilege of frequently “working” from my well-equipped attic.

The dividend of the computer revolution to us did not come in the flooding of self-perpetuating e-mail messages and access to chat rooms; it was in the sudden availability of fast processors capable of generating a million sample paths per minute. Recall that I never considered myself better than an unenthusiastic equation solver and was rarely capable of prowess in the matter – being better at setting up equations than solving them. Suddenly, my engine allowed me to solve with minimal effort the most intractable of equations. Few solutions became out of reach.

ZORGLUBS CROWDING THE ATTIC

My Monte Carlo engine took me on a few interesting adventures. While my colleagues were immersed in news stories, central bank announcements, earnings reports, economic forecasts, sports results and, not least, office politics, I started toying with it in fields bordering my home base of financial probability. A natural field of expansion for the amateur is evolutionary biology – the universality of its message and its application to markets are appealing. I started simulating populations of fast mutating animals called Zorglubs under climatic changes and witnessing the most unexpected of conclusions – some of the results are recycled in Chapter 5. My aim, as a pure amateur fleeing the boredom of business life, was merely to develop intuitions for these events – the sort of intuitions that amateurs build away from the overly detailed sophistication of the professional researcher. I also toyed with molecular biology, generating randomly occurring cancer cells and witnessing some surprising aspects to their evolution. Naturally the analogue to fabricating populations of Zorglubs was to simulate a population of “idiotic bull”, “impetuous bear” and “cautious” traders under different market regimes, say booms and busts, and to examine their short-term and long-term survival. Under such a structure, “idiotic bull” traders who get rich from the rally would use the proceeds to buy more assets, driving prices higher, until their ultimate shellacking.

Bearish traders, though, rarely made it in the boom to get to the bust. My models showed almost nobody to really ultimately make money; bears dropped out like flies in the rally and bulls got ultimately slaughtered, as paper profits vanished when the music stopped. But there was one exception; some of those who traded options (I called them option buyers) had remarkable staying power and I wanted to be one of those. How? Because they could buy the insurance against blowup; they could get anxiety-free sleep at night, thanks to the knowledge that if their careers were threatened, it would not be owing to the outcome of a single day.

If the tone of this book seems steeped in the culture of Darwinism and evolutionary thinking, it does not come from any remotely formal training in the natural sciences, but from the evolutionary way of thinking taught by my Monte Carlo simulators.

I have to reckon that I outgrew the desire to generate random runs every time I want to explore an idea – but by dint of playing with a Monte Carlo engine for years I can no longer visualize a realized outcome without reference to the non-realized ones. I call that “summing under histories”, borrowing the expression from the colorful physicist Richard Feynman who applied such methods to examine the dynamics of particles.

Using my Monte Carlo to do and redo history reminded me of the experimental novels (the so-called *new novels*) by such writers as Alain Robbe-Grillet, popular in the 1960s and 1970s. There the same chapter would be written and revised, the writer each time changing the plot like a new sample path. Somehow the author was freed from the past situation he helped create and allowed himself the indulgence to change the plot retroactively.

DENIGRATION OF HISTORY

One more word on history seen from a Monte Carlo perspective. The wisdom of such classical stories as Solon prods me to spend even more time in the company of the classical historians, even if the stories, like Solon's warning, have benefited from the patina of time. However, this goes against the grain: learning from history does not come naturally to